

FRANK A. VANDERLIP

1864–1937

By the end of World War I, Frank Vanderlip was considered the most aggressive financier in the United States. His ambition had roots in his poverty-stricken youth: He grew up on an Illinois farm; his father died when he was 12; and he took a job in a machine shop, making 75 cents a day. At the shop, he encountered a new phenomenon—electricity—and vowed he would go to college to study engineering. And he did for a year, attending the University of Illinois, after which he applied to Thomas Edison for a job, but was rejected. Eventually, Vanderlip took a reporting job with the local paper. At 25, he became the financial editor of the Chicago Tribune and started taking business classes at the University of Chicago.

Vanderlip's big break came when a mentor was appointed Secretary of the Treasury and invited him to become his personal assistant in Washington. Before long, Vanderlip was made Assistant Secretary, and he won recognition by being instrumental in acquiring financing for the Spanish War. In 1901 he was recruited by National City Bank, the largest in the country, and he became its president in 1909. His employer, the venerable Mr. Stillman, taught him, he said, as "a parent mongoose teaches its young." Caution was foremost, but he also learned "that a man is never so rich he can afford to have an enemy; enemies must be placated; competition must never become so keen as to wound the dignity of a rival; and, above all, I was to avoid having too many banking eggs in one basket."

Such advice would pay off as Vanderlip became the director of a railroad, butted heads with the temperamental robber baron E. H. Harriman, and built himself an alliance with J. P. Morgan. Vanderlip's own remarkable accension was not lost on him and he kept life in perspective. A reporter once asked him, "What has been the hardest step of all your career?" He answered, "To get out of my overalls." The panic of 1907 must have been another; Vanderlip described it as "madness." In the following selection, *The Haunting Specter*, he describes what happens when a leaking ship doesn't have a stern captain.